the form of index-licensing fees. Funds also would incur costs of complying with the new Form N-CSR disclosure items. As funds already prepare the disclosure that the proposed N-CSR items would cover for purposes of current shareholder reports and disclose that information on Form N-CSR as part of their shareholder reports, we do not believe the costs of the new N-CSR disclosure would be significant. However, we recognize that funds may face some costs of rearranging their disclosures within Form N-CSR. We estimate that the costs of the proposed new Form N-CSR items would initially be $75,055,680 and $20,848,800 annually thereafter.[806]

In addition, funds would be required to provide additional information online under the proposed amendments to rule 30e-1 and under proposed rule 498B. With respect to rule 30e-1, this would include online availability of the disclosure that the proposal would remove from shareholder reports, including financial statements and financial highlights, as well as quarterly portfolio holdings. In addition, funds that rely on proposed rule 498B would be required to provide certain information online, including summary and statutory prospectuses, SAIs, and shareholder reports. While the vast majority of funds already provide fund

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[806] The initial costs of the proposed Form N-CSR requirements are based on the following calculations: 18 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $6,048 per fund. 12,410 funds x $6,048 = $75,055,680. The annual cost of the proposed new Form N-CSR requirements are based on the following calculations: 5 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $1,680 per fund. 12,410 funds x $1,680 = $20,848,800. *See infra* Section IV.D. These PRA burden estimates do not account for the fact that funds are currently required to prepare the same general disclosure for purposes of their shareholder reports. Thus, these PRA-related estimates may over-estimate the costs of the proposed Form N-CSR disclosure items, particularly the transition costs.

information on websites, they may not currently provide the same information that the proposed rule would require.[807]

For instance, under the proposed amendments to rule 30e-1, funds would likely incur costs associated with providing online access to the new Form N-CSR disclosure items (*i.e.*, the information that the proposal would remove from shareholder reports). Funds that do not rely on rule 30e-3 would also incur costs to provide their quarterly portfolio holdings online. We estimate that the initial costs of complying with the website availability requirements in rule 30e-1 would be $35,591,880, with ongoing annual costs of $11,863,960.[808]

With respect to the online information that proposed rule 498B would require, we estimate that funds generally would not incur additional transition or ongoing costs associated with these requirements. This is because we anticipate that only funds that rely on rule 498 to deliver summary prospectuses—and that are already required under that rule to provide the same information on websites—would rely on proposed rule 498B.[809] Only these funds are likely to choose to rely on proposed rule 498B because, unlike other funds, they already deliver summary prospectuses under rule 498 and so have experience using layered

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807 *See supra* Section III.B.2 and III.B.3.

808 *See infra* Section IV.C. The estimated initial cost of complying with rule 30e-1's website availability requirements is based on the following calculations: 12 hours x $239 (wage rate for webmaster) = $2,868 per fund. 12,410 funds x $2,868 = $35,591,880. The estimated ongoing annual cost is based on the following calculations: 4 hours x $239 (wage rate for webmaster) = $956 per fund. 12,410 funds x $956 = $11,863,960.

809 Absent the proposed requirement in rule 498B to provide summary prospectuses online, we recognize some funds that currently use summary prospectuses may have less incentive to do so under rule 498B. This is because rule 498B would have the effect of reducing a fund's delivery costs for the annual prospectus update, regardless of whether it uses a summary prospectus or statutory prospectus. Proposed rule 498B would require funds to provide summary prospectuses and other materials online because we believe investors benefit from concise summary prospectus disclosure, along with access to more detailed information, to help inform their investment decisions and compare fund investments.

disclosure. In addition, they are already subject to similar website availability requirements under rule 498. Therefore, they would be more likely than other funds to experience overall cost savings under rule 498B.

However, if a fund that does not deliver summary prospectuses under rule 498 chose to rely on proposed rule 498B, the fund would be required to begin providing the relevant information on a website and to continue to update the website materials as needed. We estimate that the compliance costs of proposed rule 498B for funds that do not currently rely on rule 498 to deliver summary prospectuses initially would be $12,948 per fund to begin to comply with the relevant requirements in proposed rule 498B and would reduce to annual costs of $4,316 per fund thereafter.[810]

In addition to website availability requirements, funds that choose to rely on proposed rule 498B could incur costs to prepare prompt notices of material changes that the rule would require. The proposed rule does not specify the form of this notice. Therefore, a fund could satisfy this requirement, for example, by sending existing shareholders the prospectus supplement filed with the Commission, an amended prospectus which reflects the material change, or another form of notice that discusses the change. The costs of preparing a notice under proposed rule 498B would depend on the approach a particular fund uses. For example, we expect that preparation costs would be fairly minimal if a fund delivers a prospectus

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[810] *See infra* Section IV.D. The estimate of initial costs is based on the following calculation: (30 hours to begin to prepare summary prospectuses x $336 (blended wage rate for compliance attorney and senior programmer)) + (12 hours to begin to comply with website availability requirements x $239 (wage rate for webmaster)) = $12,948. The estimate of annual costs is based on the following calculation: (10 hours to prepare summary prospectuses x $336 (blended wage rate for compliance attorney and senior programmer)) + (4 hours to comply with website availability requirements x $239 (wage rate for webmaster)) = $4,316.

supplement or amended prospectus, which the fund would have already prepared for other purposes. However, funds that choose to prepare separate notices under the proposed rule would likely experience higher preparation costs. We estimate that the average annual costs of preparing notices of material changes under proposed rule 498B would be $1,344 per fund, after an initial compliance cost of $4,032 per fund.[811] If 90 percent of funds rely on proposed rule 498B, this would result in aggregate ongoing annual costs of $15,011,136 and initial costs of $45,033,408.[812]

Further, to the extent that affected funds have changed their operations in anticipation of relying on rule 30e-3, those funds would bear the costs associated with the proposed amendment's prohibition on open-end funds relying on rule 30e-3. These costs could include, among others, changes to internal systems and adjustments to agreements with third-party vendors contracted to provide relevant services. In addition, if the proposed amendments to rule 30e-3 are implemented by certain funds before January 1, 2022, funds that were planning to rely on rule 30e-3 would experience transition costs associated with removing statements in their shareholder reports and prospectuses indicating that the fund would be transitioning to the rule 30e-3 framework for transmitting shareholder reports. Moreover, funds that choose to take additional steps to inform their shareholders about the modified approach to delivering

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811 *See infra* Section IV.D. The estimated annual cost of preparing notices under proposed rule 498B is based on the following calculation: 4 hour x $336 (blended wage rate for compliance attorney and senior programmer) = $1,344. The estimated initial cost of this proposed requirement is based on the following calculation: 12 hours x $336 (blended wage rate for compliance attorney and senior programmer) = $4,032.

812 The estimated aggregate annual costs of preparing notices under proposed rule 498B is based on the following calculations: (12,410 funds x 90 percent) x $1,344 = $15,011,136. The estimated aggregate initial costs of preparing notices under proposed rule 498B is based on the following calculation: (12,410 funds x 90 percent) x $4,032 = $45,033,408.

shareholder reports under the proposal would likely incur additional transition costs. We lack data to quantify these costs because we do not have information about how many funds would provide discretionary notices or other information to their shareholders to explain the proposed changes to shareholder report delivery.

3. Prospectus Disclosure Amendments

a. Summary of Economic Effects

The proposal would simplify the initial prospectus disclosure to investors in a layered approach where other information would continue to be available online and delivered upon request, free of charge. The proposal requires a new fee summary that includes bottom-line numbers from the current prospectus fee table, and would appear in the summary section of the prospectus (as well as in a summary prospectus if a fund uses that form of prospectus).[813] The fee summary would also express the bottom-line numbers in dollar terms, in addition to the current presentation of an amount in terms of fund net assets, and describe fee and expense items in plain English.[814] In addition, funds would simplify their disclosures of principal risk, ranking them by importance and highlighting those that are truly principal to the particular fund.

The following sections discuss the potential costs and benefits of these proposed modifications to prospectus disclosures. In summary, the benefits of the proposal would accrue through better use of the prospectus disclosure materials by investors. The tailored

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[813] For example, instead of listing different expense types that comprise a fund's total annual operating expenses and then providing the bottom-line total annual operating expenses, the fee summary would only provide the bottom-line total.

[814] For example, a fund would describe a charge an investor incurs when purchasing a fund's shares as a "purchase charge" instead of as a "maximum sales charge (load) imposed on purchases."